Williams-Sonoma: Watch / Defer

Committee ask

Do not initiate at $228.25. Keep WSM on the watch list until the next material operating update clarifies normalized margins and comparable-brand demand.

Evidence	Range / reference
Integrated FCFF operating cases	$123.00 - $156.69
Peer EV / EBIT	$140.65 - $169.66
Peer P / E	$160.41 - $208.95
August 31 close	$228.25

Each valuation method is below the market price. The methods remain separate evidence rather than inputs to a mechanical average.

As of August 31, 2026. Review horizon: next material operating update.

Operating evidence and normalization

Evidence	What it supports	Limitation
Q2 comparable-brand revenue +6.2%	Demand improved across channels	One quarter does not establish a five-year growth rate
Q2 GAAP EPS included a net $0.74 tariff-refund benefit	Reported Q2 EPS may overstate recurring earnings	The benefit must be normalized before valuation
Q2 non-GAAP gross margin 45.5%	Base gross-margin judgment	Tariff refund lifted GAAP Q2 margin to 51.6%
FY2026 revenue guide 4.7%-7.2%	FY2026 base growth of 5.95%	Later-year growth fade is student judgment
Cash $1.029B; no financial debt	Liquidity and FCFF bridge	Cash is seasonal; excess-cash treatment requires sensitivity

The forecast excludes the tariff-refund benefit as recurring earnings and uses a 45.5% margin rather than the Q2 GAAP margin.

Source: WSM FY2025 10-K and Q2 FY2026 10-Q / earnings release.

Five-year operating forecast drives FCFF

Metric	FY2026E	FY2030E	Link
Revenue	$8,271.3	$9,445.5	Growth path
Operating income	$1,483.2	$1,713.1	Gross margin, SG&A, D&A
FCFF	$964.2	$1,220.5	NOPAT + D&A - capex - working capital
Cash	$1,168.2	$2,472.9	FCFF less distributions

Validation

Every forecast year balances. Cash remains positive. Under the no-debt, no-interest convention, FCFF and FCFE reconcile.

Terminal value represents 72.7% of enterprise value, so the long-run assumptions remain a major limitation.

Source: wsm_proforma.py. USD millions except per-share data.

Valuation outcomes and market checks

Method or case	Value per share	Key operating assumption	Committee meaning
Tariff and Margin Pressure	$123.00	Lower growth and 43.5% gross margin	Do Not Initiate; reassess active watch-list status
FCFF base	$138.88	5.95% FY2026 growth; 45.5% margin	Watch / Defer; do not initiate at the current price
FCFF high	$156.69	Higher growth and 47.5% margin	Reassess; not an automatic initiation
EV / EBIT peers	$140.65 - $169.66	Qualified peer enterprise multiples	Market reference
P / E peers	$160.41 - $208.95	Qualified peer GAAP P/E multiples	Market reference

Every result remains below $228.25. FCFF, EV/EBIT, and P/E answer different valuation questions and are not mechanically averaged.

Source: integrated FCFF model and Lab 08 peer calculations, August 31, 2026 basis.

WACC, cash, and market-implied expectation

Question	Base treatment	Alternative / implication
WACC and terminal growth	10.0% WACC; 3.0% terminal growth	Across WACC assumptions of 9%-11% and terminal growth rates of 2%-4%, estimated value ranges from $112.98 to $185.26 per share.
Opening cash	100% of $1,028.936M added in the base bridge	0% / 50% / 100% excess cash gives $130.15 / $134.51 / $138.88
Market-implied expectation	Base operating forecast and 10% WACC	A 6.28% terminal growth rate is required to reach $228.25

Terminal value is 72.7% of enterprise value. The 10% WACC and all-cash bridge are judgments; the 6.28% reverse-DCF result is a diagnostic.

Source: WSM final valuation record; model sensitivity calculations.

Risks, reversal triggers, and monitoring

Risk / limitation	Why it matters	Monitor or action
Downside operating case	43.5% margin and lower growth produce $123.00 per share	Do not initiate under this case
Tariff and sourcing pressure	Could reduce margin below the 45.5% base	Use post-refund merchandise margin and pricing evidence
Demand fade	Growth compounds through FCFF and terminal value	Track comparable-brand sales by channel and updated guidance
Cash classification	Cash adds $0 to $8.74 per share depending on excess-cash treatment	Build a minimum-operating-cash analysis before relying on full-cash bridge
Terminal-value reliance	72.7% of EV occurs after FY2030	Refresh WACC, terminal-growth, and operating assumptions after results

Reversal trigger: refreshed, same-date valuation must show a margin of safety and operating evidence must support durable post-refund growth and margins.

Source: WSM filings, final model scenarios, and validation record.

Committee action

Watch / defer. Do not initiate WSM at $228.25.

The model values WSM below the dated market price across the integrated operating cases and peer references. Recent demand and liquidity justify monitoring, but tariff normalization, excess-cash treatment, and terminal-value reliance leave too little margin of safety for an initial position.

Next review	Evidence required
Next results cycle	Comparable-brand demand, normalized margin, tariff-cost recovery, and cash conversion
Before any initiation	A refreshed same-date valuation with a margin of safety and a documented minimum-cash treatment

Committee request: approve watch-list status and require a valuation refresh after the next material operating update. Supporting validation and AI-use disclosure: Validation-and-AI-Use.pdf.

As of August 31, 2026. Source: integrated valuation, peer analysis, and validation record.